

The Blueprint for Launching a Youth Hostel in Indonesia

An Investor's Guide to KBLI 55191



Based on Regulation PP 28/2025

Defining the Opportunity: What is a Youth Hostel (KBLI 55191)?

The official classification KBLI 55191 covers businesses providing lodging services, typically for tourists. The key features are:



Shared or Private Rooms

Accommodation can be offered as shared dormitory-style rooms ('sharing room') or private individual rooms.



Tourism-Focused

The primary purpose is to serve tourists engaging in recreation, travel, or seeking to broaden their knowledge and experience.

The Investment Thesis: Why KBLI 55191 Stands Out



LOW RISK

Classified as a 'Rendah' (Low) risk business, simplifying compliance and streamlining the setup process.



100% FOREIGN OWNERSHIP

Foreign Direct Investment (PMA) is fully permitted, with a maximum ownership limit of 100%. No local partner is required.

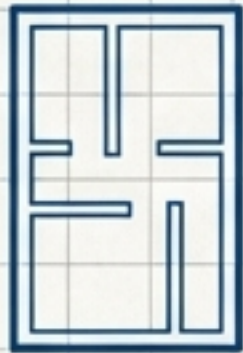


AUTOMATIC APPROVAL

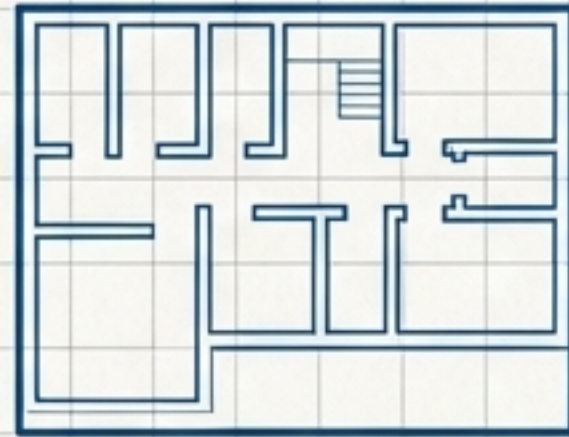
Features a unique 'Fiktif Positif' mechanism that can grant automatic approval, significantly accelerating your launch.

Scalable for Any Ambition

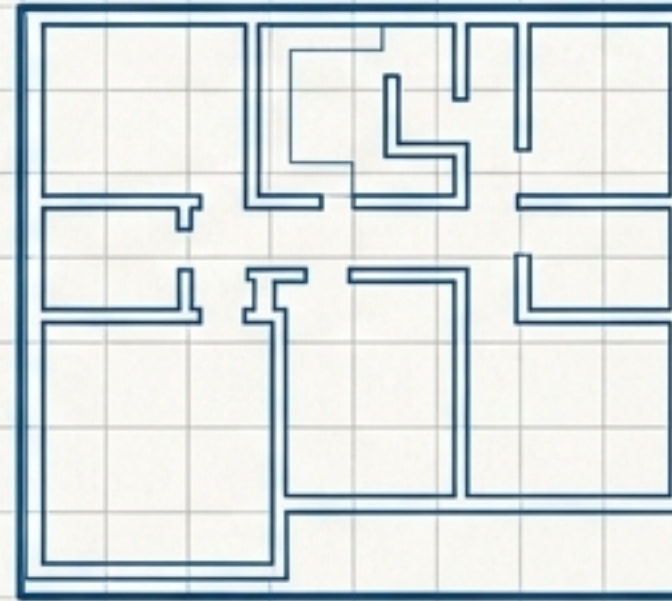
The Youth Hostel classification (KBLI 55191) is designed to accommodate a full spectrum of business sizes. You can structure your venture to match your capital and growth strategy.



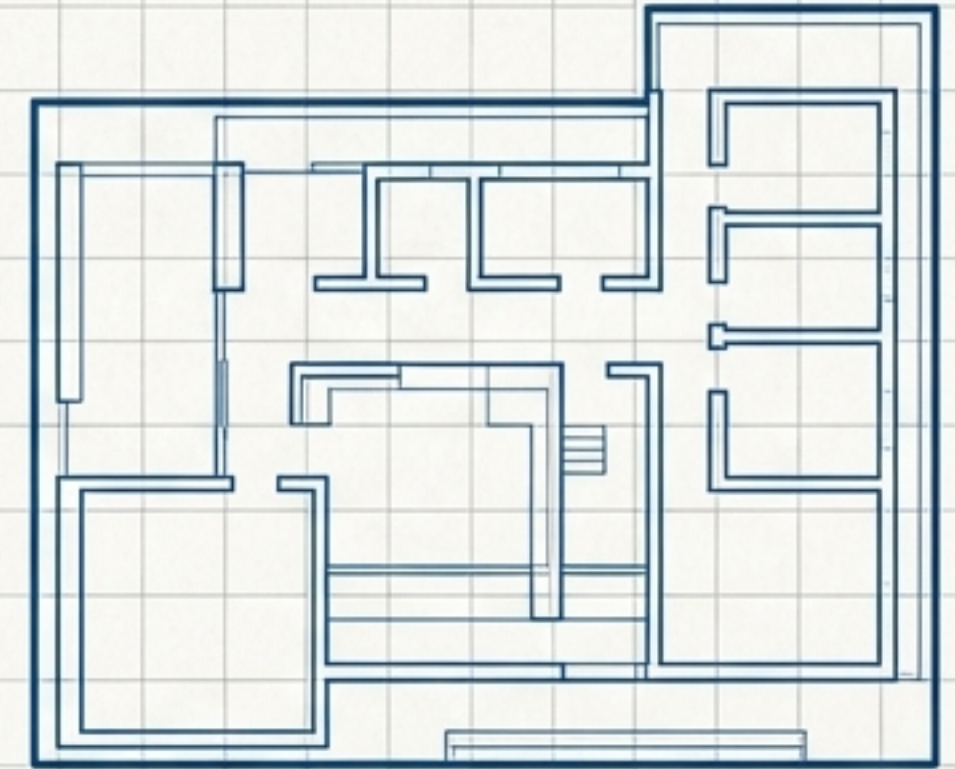
• Micro (Mikro)



• Small (Kecil)



• Medium (Menengah)



• Large (Besar)

This flexibility allows for tailored business models, from a single small hostel to a nationwide chain.



Understanding the “Low Risk” Advantage

Under the Indonesian Risk-Based Approach (RBA), KBLI 55191’s “Rendah” (Low) risk status is a significant strategic advantage. For the business owner, this generally implies:

- ✓ Simplified Licensing: Fewer and less complex requirements to obtain your business license (NIB).
- ✓ Faster Processing: Government processing times are typically shorter for low-risk categories.
- ✓ Reduced Oversight: Post-licensing supervision is less intensive compared to medium or high-risk sectors.
- ✓ Lower Compliance Burden: Focus more on growing your business and less on navigating complex regulatory hurdles.

A Clear Welcome for Foreign Investment (PMA)



Status: Permitted (Diizinkan) ✓

Maximum Share: 100%

Implication: Foreign investors can establish and operate a youth hostel business with full ownership and control. There is no regulatory requirement to partner with a local Indonesian entity.

Which Authority Handles PMA?

Applications involving Foreign Direct Investment (PMA) are handled at the national level by the responsible Minister or Head of Agency.

Navigating the Licensing Authorities

The authority responsible for issuing your business license depends on the investment structure of your company.

Domestic Investment



Authority: Regent (Bupati) or Mayor (Walikota).

Scope: Responsible for all non-PMA (foreign investment) youth hostel businesses within their respective districts or cities.

Foreign Investment (PMA)



Authority: Minister (Menteri) or Head of

Agency (Kepala Badan).

Scope: Specifically handles all applications involving any level of foreign ownership.

Staying Compliant: Your Core Responsibilities

The low-risk nature of this KBLI is reflected in its straightforward compliance requirements. There are two primary obligations for all operators:



Requirement 1: Periodic Reporting

You must submit activity reports on a regular basis to the relevant authorities. (Menyampaikan laporan kegiatan secara berkala).

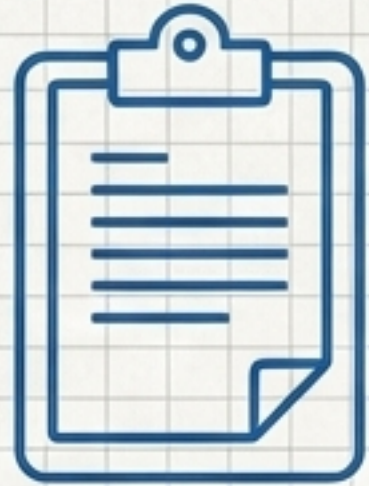


Requirement 2: Health & Safety Certification

You must obtain and maintain a Health Eligibility Certificate. (Memiliki Sertifikat laik sehat).

Note: These obligations ensure operational transparency and adherence to public health standards.

A Closer Look at Your Obligations



Periodic Activity Reports

While specifics can vary, these reports typically involve submitting data on business activities such as occupancy rates, guest origins, and operational updates. This is a standard procedure in the tourism ('Pariwisata') sector for data collection and monitoring.



Health Eligibility Certificate (Sertifikat Laik Sehat)

This certificate is a standard requirement for hospitality businesses in Indonesia. It verifies that your premises meet official standards for sanitation, water quality, hygiene, and overall public health safety. It is a crucial component for building trust with your guests.



The Decisive Advantage: Unlocking 'Fiktif Positif'

KBLI 55191 is one of only 258 **business classifications** in Indonesia that benefits from a powerful legal mechanism known as "**Fiktif Positif**".

- **What it means:** Literally "Positive Fiction," it is a rule of automatic approval.
- **The Principle:** If the licensing authority fails to provide a decision (approval or rejection) on a completed application within the official time limit (SLA), the license is **legally considered granted**.

How Automatic Approval Works For You

Step 1: Application Submitted



You submit your complete and correct license application through the official OSS system. The clock starts.

Step 2: SLA Period



The relevant government authority has a defined Service Level Agreement (SLA) period to review and issue a response.

Step 3: Outcome



If the SLA deadline passes **with no official response**, your application is automatically and legally deemed **approved**.

This system protects you from administrative delays and provides a **clear, predictable timeline** for your business launch.

Your Blueprint for a Youth Hostel Venture in Indonesia

KBLI 55191 offers a uniquely clear and advantageous path for entrepreneurs in Indonesia's thriving tourism sector.



Low Risk Profile
reduces complexity.



100% Foreign Ownership provides full control.



Simple Obligations
ensure a clear compliance path.



Automatic Approval
provides speed and certainty.

The combination of these factors makes launching a youth hostel a highly streamlined and attractive investment opportunity.